Insulating News from the Market and the State

In June 2015, Prime Minister Tony Abbott asked the ABC "whose side are you on?" after its program *Q&A* allowed a former terrorism suspect to ask a question from the studio audience (Davidson, 2015, para. 3). The question implies that a publicly funded broadcaster owes some loyalty to the government that funds it, much as commercial media are often expected to serve the advertisers and owners who fund them. The statement that news and information, as public goods, should be quarantined from the commercial market addresses only the second of these pressures. Murschetz (2020) defines public goods as "goods that are non-rival in consumption and for which it is prohibitively costly to exclude non-payers" (p. 729). By that measure, news is only partly functioning as a public good, because digitisation is making charging for journalism increasingly economically attractive (Murschetz, 2020, p. 735). It ought to be, however, as Curran et al. (2009) argue that holding officials to account partly depends on media that reach even citizens who pay little attention to public affairs. Quarantine, understood literally as total separation from the market, could make news freely available, but it would not make it independent. Cases from the Chicago press in 1918 to the BBC at Suez and Poland's public broadcaster in 2021 suggest that the threat to news lies in its dependence on whoever controls its funding and resources, and that removing the market simply leaves that control with the state. Rather than being quarantined, news should be insulated by design from both the market and the state, through regulatory protections and secure funding within a mixed media system.

The statement asserts that news and information are public goods; however, this is only partially true. Murschetz (2020) outlines that public goods must be both non-rival and non-excludable (p. 729), and news increasingly meets only the first of those conditions. It is non-rival, as one person reading a report does nothing to diminish another's ability to read it, but is becoming more excludable, as digitisation is making charging for journalism increasingly economically attractive (Murschetz, 2020, p. 735), most visibly through paywalls. Digitisation also contributes to the growing excludability of free news. Heylen (2024) highlights how "in the middle of the Covid-19 pandemic, users in Australia could no longer find official information about the virus on Facebook, including information about Australia's impending vaccination rollout" (p. 7283). Facebook had blocked users from accessing news as part of its campaign against Australia's proposed News Media Bargaining Code (Heylen, 2024, p. 7278), and Heylen argues that this demonstrates Facebook's power and ability to displace governments

in health communication (p. 7285). News that is free on a platform therefore remains excludable; it is withheld at the platform's discretion and so does not function as a public good. This is important because the democratic value of news depends on its reach. Curran et al. (2009) argue that political accountability requires, among other things, "a media system that delivers a sufficient supply of meaningful public affairs information to catch the eye of relatively inattentive citizens" (p. 6). They further find that the public service model, which makes television news more accessible, "tends to minimize the knowledge gap between the advantaged and disadvantaged and therefore contributes to a more egalitarian pattern of citizenship" (Curran et al., 2009, p. 22). The growing digitisation and consequent excludability of news threaten to undermine its ability to disseminate information and support the democratic process, and mean it cannot be considered entirely a public good. Admittedly, free-to-air broadcast news can still be watched by anyone at no cost and so remains, in the economic sense, a public good. These broadcasters face a different issue; their costs are borne either by advertisers, in the case of commercial networks such as Seven and Nine, or by the state, in the case of the ABC. As a result, their reports are exposed to the interests of those who pay for them.

The considerable influence wielded by advertisers and vested interests over commercial media provides the strongest argument in favour of quarantining news and information from the market. Herman and Chomsky (2002) argue that structural pressures such as ownership and advertiser dependence lead the media to "serve, and propagandize on behalf of, the powerful societal interests that control and finance them" (p. xi). Advertisers exert this influence by deciding which outlets survive; as Herman and Chomsky (2002) put it, "with advertising, the free market does not yield a neutral system in which final buyer choice decides" (p. 14). In post-war Britain, the *Daily Herald*, *News Chronicle* and *Sunday Citizen* failed or were absorbed between 1960 and 1967 despite a combined daily readership of 9.3 million, a collapse Herman and Chomsky (2002) attribute "in large measure" to "progressive strangulation by lack of advertising support" (p. 15). Similarly, Curran et al. (2009) note that commercial media are pressured to prioritise high-spending audiences (p. 19) and find that public service television in Finland and Denmark is "more hard news oriented and outward looking than American commercial television" (p. 13). Commercial dependence does not, however, only expose news to advertisers; it can also expose it to the state. Nichols (2017) shows that during the First World War, under pressure to cut their use of newsprint and give their pages over to government publicity, Chicago's editors competed to prove their usefulness to the wartime state (p. 21).

When talk of peace threatened the government's war-bond drive in October 1918, "the editors of Chicago's six dailies agreed to spike the story of a possible German armistice" (Nichols, 2017, p. 29). Chicago's papers remained privately owned throughout, yet their dependence gave the state a considerable say over what they printed. The problem, then, is dependence rather than the market as such, and quarantining news would not end that dependence but shift it entirely onto the state.

A press funded by the state is instead exposed to what Murschetz (2020) describes as media capture, in which journalists become clients of state support and repay it with deference (p. 725). Dupéré (2021) recounts that during the 1956 Suez crisis, after the BBC aired the views of a pro-Nasser Egyptian officer to balance the government's position, Prime Minister Anthony Eden telephoned and wrote to the BBC's chairman and "obtained a promise not to broadcast any similar programmes during the London Conference" (para. 16). Dupéré (2021) also concludes that this informal influence was "facilitated by the Government's authority to appoint the Corporation's Board of Governors and control the annual television licence fee" (para. 20). The same power over appointments was exercised more directly in Poland, where the 2015 Small Media Act gave a government minister the right to appoint the management board of the public broadcaster TVP (Kosman, 2025, p. 50). Kosman (2025) finds that in covering the 2021 border crisis, TVP "endorsed a specific discourse while delegitimizing or omitting those that were not harmonious with that of PiS", the governing Law and Justice party (p. 60); its flagship news program, *Wiadomości*, made no mention of the NGOs, volunteers, nurses and doctors helping those in need at the border (p. 58). Further, Kosman (2025) argues that "while state media usually take a pro-government stance", TVP's support for Law and Justice was "unprecedented" (p. 60). In Australia, the public broadcaster has also faced government pressure; in 2003, Communications Minister Richard Alston lodged a formal complaint alleging 68 instances of bias in the ABC current affairs program *AM* (Jacka, 2005, p. 15), a complaint that Jacka (2005) suggests is "hard to distinguish ... from political pressure" (p. 16). The complaint was adjudicated, however, not by the minister but by the ABC's Independent Complaints Review Panel, which upheld 17 of the 68 items, finding serious bias in 12 of them, but found the program's coverage competent and balanced overall (Jacka, 2005, p. 15). More recently, Dodd (2020) notes that by 2017, five of the ABC's nine board members had been appointed "outside the process that was designed to prevent board stacking", and that in 2018 the ABC's chairman, Justin Milne, called for the dismissal of prominent reporters "because the coalition disliked their reporting" (p. 8). All of these broadcasters were publicly funded, yet

how far the government could influence them depended on how independently they were governed.

Rather than being quarantined from the market, which would only leave it more dependent on the state, news should be insulated from both through independent governance and secure funding. In a study of 33 democracies, Neff and Pickard (2024) found that the proportion of public media funding drawn from public rather than commercial sources was at most weakly related to the strength of a country's democracy (p. 613), although they maintain that public funding still makes a positive difference once a few outliers, including two countries whose public media are not independent of government, are excluded (p. 620). What distinguished the public media systems that best supported democracy was their design: high funding levels, secure multiyear funding, the separation of supervisory and management functions, and the "pluralistic election of supervisory boards" (Neff & Pickard, 2024, p. 621). These include the protections the BBC lacked at Suez, where the government controlled the annual licence fee and appointed the board, and those TVP lost when a minister took over its appointments. Herman and Chomsky (2002) identify the same weakness in the United States, where conservatives struggle to keep public television "on a short leash, with annual funding decisions" (p. 339). The ABC sits between these cases. An independent panel was created to recommend candidates for its board, but Dodd (2020) notes that Coalition governments have often ignored its recommendations (p. 8), which left room for board stacking. Funding has been a second lever whereby the government has applied pressure. Dodd (2020) identifies funding cuts as the "principal strategy" governments have used to "manage" the ABC since 2013 (p. 5): the Abbott government cut tens of millions of dollars from the broadcaster in 2014 despite a pre-election commitment not to, and the 2018 budget froze indexation of its next triennial funding period. Multiyear funding protects a broadcaster only if the government cannot simply reduce it at the next budget. Pickard (2011), who argues for publicly subsidising journalism, wants it to be "neither dependent on the whims of the market nor subject to shifting political landscapes" (p. 89), within "a mixed media system" that keeps space for commercial media (p. 90). These protections need not be confined to public broadcasters. In Finland and Denmark, the public service model also requires major commercial channels to carry public affairs programming, enforced by independent regulators, so that it "embraces both the public and commercial broadcast sectors" (Curran et al., 2009, p. 7). In these systems, news remains part of the commercial market, but regulation requires it to serve the public.

News and information should not be quarantined from the commercial market, although the influence of advertisers and owners over commercial news provides a strong case for doing so. News is only partly a public good; it remains non-rival, but paywalls have made it increasingly excludable, and even free news can be withheld by digital platforms such as Facebook. Free-to-air news remains non-excludable, but it still depends on whoever pays for it. Commercial funding exposes news to the interests of owners and advertisers, and, as the Chicago press showed in 1918, can expose news to the state as well. Removing news from the market would not end this dependence. At Suez, in Poland and at the ABC, governments pressured the broadcasters they funded, particularly where they controlled appointments or annual funding, and at the ABC it was an independent panel, not the minister, that judged the government's complaint. The better course is to insulate news from both the market and the state, through secure multiyear funding and independent appointments, within a mixed system that also places public service obligations on commercial media. Insulated in this way, news can serve the public without being quarantined from the market.

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